Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY

Direct Testimony

of

Capital Structure Panel

Dated: April 28, 2023

Testimony of Capital Structure Panel

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I. Introduction and Qualifications

Q. Please introduce the members of the Capital Structure Panel.

A. The Panel consists of Christopher Porter and Keith Magee.

Q. Mr. Porter, please state your name and business address.

A. My name is Christopher Porter. My business address is 1-3 Strand, London, WC2N 5EH, United Kingdom.

Q. By whom are you employed and in what position?

A. I am employed by National Grid UK Limited, a subsidiary of National Grid plc, as Senior Manager of Corporate Finance within the Group Treasury function.

Q. Please describe your educational background and professional experience.

A. I hold a Master of Mathematics degree from Durham University and a Master of Finance from Queen's University Belfast. From 2010, I worked at HSBC in London in the Debt Capital Markets business where I advised corporate clients on bond issuances in the global debt markets, liability management, hedging and risk management. I joined National Grid in 2017 in the Funding and Investment team within Group Treasury. In this role I was responsible for executing bond issues and raising long-term debt for entities across National Grid plc and its subsidiaries, including The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY) and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (together, the "Companies"). I was also responsible for the Group's relationships with debt investors and financial risk management. In 2021 I moved to my

current role in Corporate Finance, where I manage National Grid's credit ratings and relationships with the credit rating agencies and focus on the financing strategy of National Grid plc and its subsidiaries. I worked on KEDNY's last bond issue in August 2022, including in the marketing with debt investors, and in my current position I interact with the credit rating agencies on a regular basis.

Q. Mr. Magee, please state your name and business address.

A. My name is Keith Magee. My business address is 170 Data Drive, Waltham, Massachusetts 02451.

Q. By whom are you employed and in what position?

A. I am employed by National Grid USA Service Company, Inc. ("Service Company"), a subsidiary of National Grid USA ("National Grid"), as Director, Regulatory Strategy and Analysis.

Q. Please describe your educational background and professional experience.

A. I received a Bachelor of Arts degree in Economics from Whitman College, and an MBA with a concentration in Finance from the F.W. Olin Graduate School of Business at Babson College. I also hold the professional designation of Chartered Financial Analyst ("CFA") awarded by the CFA Institute, and the professional designation of Certified Rate of Return Analyst awarded by the Society of Utility and Regulatory Financial Analysts.

I joined National Grid as Director of Regulatory Strategy and Analysis in February 2019. My responsibilities include managing regulatory cost of capital, capital structure and strategic planning related issues across National Grid's regulated operating companies. In addition, I am responsible for conducting financial and economic analysis to support the development of regulatory strategies. Prior to joining National Grid, I was a Director at ScottMadden, Inc. where I provided consulting to the utility and energy industry on a range of financial and economic issues including areas such as rate case activities (*e.g.,* cost of capital, cost of service, revenue requirement and rate design) and strategy issues (*e.g.,* capital investment related activities).

Q. Have you previously testified before the New York State Public Service Commission ("Commission")?

A. Yes, I submitted testimony as a member of the Capital Structure Panel in Niagara Mohawk Power Corporation's electric and gas rate cases, Cases 20-E-0380 and 20-G-0381, which were filed on July 31, 2020 (the "2020 NMPC Rate Cases").

II. <u>Purpose and Summary of Testimony</u>

Q. What is the purpose of the Panel's testimony?

A. The purpose of our testimony is to present and support KEDNY's proposed capital structure and overall cost of capital in this proceeding. Our testimony provides information for the 12 months ended December 31, 2022 ("Historic Test Year"), the forecast 12 months ending March 31, 2025 ("Rate Year"), and the 12 months ending March 31, 2026 ("Data Year 1"), March 31, 2027 ("Data Year 2"), and March 31, 2028 ("Data Year 3")

(collectively, the "Data Years"). Our testimony will discuss the importance of the capital structure for maintaining access to capital on reasonable terms and supporting KEDNY's credit ratings.

Regarding the cost of debt, the Panel proposes a long-term debt true-up mechanism for the costs associated with the $2.35 billion of combined new debt issuances projected for the Rate Year and Data Years. In addition, we will discuss the currently effective financial protection provisions addressed in past KEDNY proceedings ("Financial Protections"). Finally, we will discuss and support the cost of capital component included in the Service Company asset recovery charge that is charged to affiliates, such as KEDNY, to recover the costs of shared assets financed and owned by Service Company.

Q. Does the Panel sponsor any exhibits as part of its testimony in this proceeding?

A. Yes, we sponsor Exhibit __ (CSP-1), Schedules 1 - 4. Schedule 1 sets forth KEDNY's cost of long-term debt. Schedule 2 contains the projected capitalization and weighted average cost of capital that is proposed to be adopted for KEDNY in this proceeding. Schedule 3 summarizes KEDNY's weighted cost of capital for both the Rate Year and for the term of a multi-year rate plan. Schedule 4 sets forth a forecast sources and uses of funds statement and projected financial statistics for the Rate Year and Data Years. The exhibit was prepared or compiled under our supervision and direction.

Q. What is the Company's proposed weighted average cost of capital?

A. KEDNY's proposed Rate Year weighted average cost of capital, as shown on Exhibit __ (CSP-1), Schedule 3, is 7.09 percent. This overall rate of return is based on the capitalization ratios and cost rates shown in Table 1 below:

Table 1 – Rate Year Weighted Average Cost of Capital (One-Year Rate Plan)

	Capitalization Ratio	Cost Rate	Weighted Cost
Long-Term Debt	51.82%	4.60%	2.38%
Customer Deposit	0.18%	3.45%	0.01%
Common Equity	48.00%	9.80%	4.70%
Total	100.00%		7.09%

If rates were to be established for multiple years in a settlement in this proceeding, the Company proposes the rates of return shown on Exhibit ___(CSP-1), Schedule 3, including a 10.3 percent cost of equity that reflects the 50 basis point stay-out premium discussed in the direct testimony of Company Witness Joshua Nowak.

In calculating the capitalization ratios shown above, the goodwill recorded on KEDNY's books was excluded from its total capitalization and common equity balances.

III. Ratemaking Capital Structure

Q. What capital structure does KEDNY propose to use for ratemaking purposes in this proceeding?

A. For a utility that is part of a holding company structure, Commission precedent supports setting rates using the utility's stand-alone capital structure where the utility can demonstrate that it is financially insulated from its parent and its capital structure is

reasonable and in line with its own financial and business risks. KEDNY is proposing for ratemaking purposes to use a capital structure that contains 48 percent common equity for the Rate Year, which is the Company's currently authorized equity ratio.

Q. Is KEDNY part of a holding company corporate structure?

A. Yes. KEDNY is owned by National Grid, which is indirectly owned by National Grid plc, the ultimate parent of KEDNY.

Q. Is KEDNY financially insulated from National Grid plc?

A. Yes. KEDNY is financially insulated from National Grid plc, and this insulation is recognized by the financial marketplace. Illustrating this point, in its March 2023 ratings report on KEDNY, Moody's explained that:

> …the strong ring-fencing provisions applicable to KEDNY reduce the potential for debt to be pushed down into KEDNY, thereby increasing its leverage. KEDNY is subject to an explicit dividend payment restriction in case its debt-to-capitalization ratio exceeds 56% (which is only four percentage points above the regulatory assumption). This ring-fencing provision compares favorably against those for National Grid's New England businesses.
>
> Additional ring-fencing provisions imposed by the NYPSC for KEDNY that we view as credit supportive, include: (1) a "special preferred share" provision that reduces the probability of bankruptcy in a distressed situation; and (2) the requirement for KEDNY to hold an investment grade rating.

Similarly, in its September 2018 report on KEDNY, Standard & Poor's ("S&P") stated:

> We assess the group status of BUG ["Brooklyn Union Gas" aka "KEDNY"] as core to National Grid PLC. At the same time, we assess BUG as insulated, with existing insulation measures supporting a one-notch separation between the subsidiary and its parent. Key insulating measures include:

- Prohibition of dividend distributions if the company does not maintain investment grade credit ratings with at least two of the three major ratings agencies.
- Prohibition of dividend increases and payments if the company's debt-to-capital ratio exceeds a certain amount.
- A golden share whose vote is required to file the utility into a voluntary bankruptcy.
- Clear economic and strategic incentive from the parent to maintain BUG's financial strength.

KEDNY issues debt on a stand-alone basis and has a credit rating separate from National Grid plc and its affiliates. Moreover, KEDNY has distinct business risks from National Grid plc. KEDNY operates a gas distribution business in downstate New York, whereas National Grid plc is an international energy company with operations in the United Kingdom and the United States and operates in an array of markets and lines of business.

Q. On average, did KEDNY's capital structure include at least 48 percent common equity in the Historic Test Year?

A. Yes. KEDNY's average capital structure during the Historic Test Year consisted of at least 48 percent common equity.

A. Importance of a Reasonable Capital Structure

Q. Why does KEDNY need a reasonable capital structure?

A. The Company has a duty to provide safe and reliable service to its customers and to meet a growing number of regulatory mandates. KEDNY requires a sound capital structure so that it can access capital on reasonable terms to fund ongoing operations and make necessary capital investments to maintain and improve the safety and reliability of its distribution system. As discussed in the testimony of the Gas Infrastructure Operations

Panel ("GIOP"), KEDNY plans to make capital expenditures totaling approximately $4.03 billion over the Rate Year and Data Years. A financially healthy utility will be able to attract capital on favorable terms when and as needed, including during challenging market conditions. An appropriate capital structure, therefore, balances the needs and objectives of customers and investors.

Q. How does the Company's capital structure affect its financial health?

A. The Company's financial health is dependent on having the cash flows necessary to meet financial obligations and support business operations. Increasing the proportion of debt in the capital structure (*i.e.,* increasing financial leverage) can undermine the utility's credit quality by: (i) increasing the firm's fixed interest payment obligations; and (ii) lowering the amount of equity in the capital structure. This leads to lower earnings and cash flow to support rate base and operations, and results in less of an equity cushion in the balance sheet to buffer debt holders from fluctuations in cash flows. Taken together, higher payment obligations, lower earnings and cash flows, and less equity cushion to absorb fluctuations in cash flows increases the risk of financial default and therefore weakens credit ratings.

Also, the Company, like all businesses, has a limited capacity to issue debt on reasonable terms. The more debt on the balance sheet, the less capacity the Company has to issue additional debt. This is a particular concern for capital intensive businesses that provide essential services, like KEDNY, which require uninterrupted access to external funds to meet the needs of business-as-usual operations as well as to potentially finance large,

unexpected spending requirements such as storm recovery or other emergencies. A strong balance sheet, accompanied by fair returns on investment and timely recovery of costs, is the best means of supporting the Company's credit and ensuring access to capital at reasonable costs under all market conditions. The Company currently has long-term issuer ratings of Baa2 (Moody's), BBB (Fitch) and BBB+ (S&P); however, S&P assesses KEDNY as having a stand-alone credit profile one notch lower at "bbb"[1], with the actual rating assigned higher due to positive influence from the broader National Grid group. In the "rating outlook" section of their March 2023 report, Moody's states that they see KEDNY as very weakly positioned for its current rating and that the stable outlook is due to parental support:

> Given our expectation that KEDNY will maintain credit metrics that are very weakly positioned for the current rating, the stable outlook reflects our expectation that the company will continue to receive support from its parent companies, and in turn reflects the stable outlook on those companies, including National Grid plc.

A further one-notch downgrade from Moody's would leave the Company at the lowest investment grade rating, at which point there is increased risk of losing access to debt markets in times of market stress. During the financial crisis in 2008, for example, there was a three-month period (August to October 2008) with no US Dollar bond issuances from 'BBB-' borrowers, and with the majority of issuances from 'A' rated borrowers. More recently, severe liquidity challenges in March and April 2020 caused by economic disruptions related to COVID-19 resulted in sharply higher credit spreads and trading costs and threatened access to capital, particularly for lower rated firms, until the Federal Reserve took extraordinary actions to stabilize the market including establishing corporate credit

[1] S&P uses lower case letters when referring to subsidiary stand-alone credit profiles to differentiate them from the actual credit rating assigned which reflects parent company influence.

facilities (*i.e.*, special programs created to provide eligible companies access to additional credit through loans and bond purchases).

B. KEDNY's Credit Ratings History

Q. What are credit ratings and how are they determined by rating agencies?

A. Credit ratings are a measure of a borrower's ability to meet its financial obligations and reflect the risk that a borrower will not make its contractual debt service payments and the potential severity of loss in the event of a default. Credit rating agencies consider both quantitative factors (*e.g.*, credit metrics) and qualitative factors (*e.g.,* the quality of the business and its operating environment) when assessing credit quality. While the specific metrics used vary, all three of the principal rating agencies focus on cash flow-to-debt based credit metrics (or debt-to-cash flow in the case of Fitch) as the main driver of their quantitative rating assessments. For regulated utilities, the agencies focus on factors such as the legislative and regulatory environment and a utility's ability to recover costs on a timely basis when determining their qualitative rating assessments.

Borrowers with higher default risk have lower credit ratings and must pay higher rates as compensation for that increased risk. They also face a more limited pool of investors which can make it difficult to attract capital on suitable terms, particularly during periods of market disruptions. Credit ratings are, therefore, important to a borrower's ability to attract capital and heavily influence the pricing and contractual terms at which securities may be issued.

Q. Please summarize KEDNY's recent ratings history.

A. As shown in Table 2 below, KEDNY's credit ratings have been downgraded one or more times by each of the rating agencies over the past few years. The ratings shown are the 'LT Issuer Rating' for Moody's, the 'Issuer Credit Rating' for S&P and the 'Issuer Default Rating' for Fitch.

Table 2 – KEDNY Issuer Credit Rating Actions: January 2019 – March 2023

	Moody's	S&P	Fitch Ratings
Brooklyn Union Gas Company			
Issuer Rating Actions[2]	Baa2 (stable) Downgrade 06/04/2021	BBB+ (stable) Downgrade 03/03/2021	BBB (stable) Downgrade 12/23/2021
	Baa1 (negative) Affirm 03/02/2021	A- (negative) Affirm 08/25/2020	BBB+ (stable) Affirm 12/01/2020
	Baa1 (stable) Downgrade 11/10/2020		BBB+ (stable) Affirm 02/20/2020
	A3 (negative) Affirm 12/19/2019		BBB+ (stable) Affirm 02/21/2019
	A3 (stable) Downgrade 02/22/2019		

The Company's issuer ratings have fallen from the 'A' category to the mid-to-high 'BBB' category. Companies rated in the 'BBB' category are generally expected to have adequate capacity to meet their near-term financial obligations under typical operating conditions, but face higher costs than higher rated companies and have less certain access to capital because they are more vulnerable to adverse economic conditions and changes in circumstances.

[2] For brevity, Table 2 excludes Moody's actions affirming KEDNY's A3 rating on March 29, 2019, and placing KEDNY's A3 rating on review for downgrade on November 15, 2019 and again on August 14, 2020.

Q. What are the primary drivers that led the rating agencies to downgrade the Company's credit ratings?

A. Moody's downgraded KEDNY to A3 (from A2) in early 2019 largely due to weaker credit metrics as a result of the 2017 Tax Cut and Jobs Act, which had a negative effect on the Company's cash flows (reducing deferred tax revenue and leading to the ongoing refund of excess accumulated deferred income taxes).[3] Moody's downgraded KEDNY again in November 2020 citing persistently weak credit metrics and noting concerns about the Company's very large investment program, growing environmental liabilities, and challenging operating environment.[4] Moody's downgraded the Company a third time in June 2021 in response to the Joint Proposal in Cases 19-G-0309 and 19-G-0310 (the "2019 KEDNY and KEDLI Rate Cases"), citing the Company's recent weaker financial profile due to its large capital expenditure program and weak operating performance, as well as the limited rate increases under the proposed Joint Proposal, which reflected "significant levelizations applied to moderate rate increases and [a] further cut in authorized equity returns." The subsequent credit opinion published in November 2021 also referenced KEDNY's environmental remediation spending and the long-term challenges to KEDNY and KEDLI's collective gas business posed by uncertainties stemming from the CLCPA and the curbing of gas volume growth.[5]

[3] Moody's Investor Service, "The Brooklyn Union Gas Company, Credit Opinion," March 5, 2019.
[4] Moody's Investor Service, "The Brooklyn Union Gas Company, Credit Opinion," November 18, 2020.
[5] Moody's Investor Service, "The Brooklyn Union Gas Company," Credit Opinion, November 8, 2021.

S&P, which takes a "top down" approach to the credit assessment of KEDNY because the utility is considered a core subsidiary of National Grid plc, downgraded KEDNY in March 2021 as a result of the downgrade of the parent company.[6] When downgrading the parent company, S&P highlighted, among other considerations, an expectation of material cash flow erosion as a result of COVID-19 and concerns about political focus on the New York utilities as a result of the gas connection moratoriums in 2019.[7] Of note, S&P's March 2023 ratings report on KEDNY indicated the operating utility had a stand-alone credit profile of "bbb" (one notch below the final assigned rating).[8] Consequently, KEDNY's rating is currently being supported by the parent company and may be at risk of a downgrade absent the rate relief requested in this proceeding. Fitch downgraded KEDNY in December 2021 following the Order approving its current rate plan.[9]

Q. Do credit rating downgrades have negative consequences for customers?

A. Yes. As noted above, companies with lower credit ratings have higher borrowing costs for new debt issuances. The higher cost of debt will remain on the Company's balance sheet and result in higher rates for customers for the life of the bond. Having lower credit ratings can also limit the Company's access to debt financing if capital markets become strained, and thus hamper KEDNY's ability to make timely investments to improve safety and reliability for the benefit of customers.

6 S&P Global Ratings, "National Grid North America Inc.", Ratings Direct, March 3, 2021.
7 S&P Global Ratings, "National Grid plc.," Ratings Direct, March 2, 2021.
8 S&P Global Ratings, "The Brooklyn Union Gas Co.," Ratings Direct, March 7, 2023.
9 Fitch Ratings, "Fitch Affirms KeySpan Gas East, Downgrades Brooklyn Union; Outlook Stable," Rating Action Commentary, December 23, 2021.

C. Credit Metric Support

Q. Will KEDNY's proposed capital structure and overall rate of return support its current credit ratings?

A. The Panel cannot speak for the rating agencies; however, an analysis of the metrics that Moody's and S&P use to assess a company's credit quality indicates that, if the Commission authorizes the rate relief requested by the Company in the proceeding, KEDNY is expected to have adequate metrics under the current rating guidelines. This conclusion assumes a generally supportive outcome to the rate filing. If the final case outcome were to include adjustments that significantly reduced cash flow as compared to what is being proposed in the Company's rate filing herein a higher equity ratio would be needed to offset the negative impact on credit metrics.

Q. Would using a higher equity ratio in the ratemaking capital structure better support the Company's credit ratings?

A. Yes. A higher common equity ratio would improve the quantitative cash flow-to-debt based credit metrics the rating agencies focus on by lowering debt and improving cash flow. Ratings agencies would likely also view a common equity ratio that was closer to the industry average allowed equity ratio of 52 percent noted in the direct testimony of Company Witness Nowak as a sign of improved regulatory support (a positive qualitative ratings factor development). The Company, however, has not requested a higher equity ratio in this case to keep rate impacts as low as can reasonably be accomplished over the near-term given significant current cost pressures. It is important, nevertheless, that the

rates established in this proceeding ensure that KEDNY's cash flow metrics do not decline to a level inconsistent with its current issuer ratings.

A 48 percent equity ratio will only be sufficient to maintain credit metrics within the thresholds required for the Company's current ratings if the overall rate case outcome provides adequate incremental cash flow. Based on the revenue requirements levels that may be advocated by other parties as this case progresses, as well as financial conditions, generally, it may become necessary for the Company to seek a higher equity ratio to avoid further downgrades and the higher risks and financing costs associated with such downgrades.

Q. Are KEDNY's current credit ratings consistent with the credit rating goals outlined in the "Generic Financing Proceeding" that is often referred to by the Commission in determining the cost of capital in utility rate proceedings?

A. No, we do not believe they are. The "Generic Financing Proceeding" (Case 91-M-0509) resulted in a 1994 Recommended Decision that, although never formally adopted by the Commission, has often been referenced by the Commission when determining the cost of capital to be used in setting rates. The Recommended Decision in the Generic Financing Proceeding proposed that the "A" rating should continue to be the long-term target for utilities and that the Commission should continue to offer utilities ratemaking support for an "A" rating. The Commission reaffirmed the importance of strong credit ratings for utilities in Case 17-M-0815, which considered the impact of the Tax Cut and Jobs Act (2017) on utilities, finding that "strong investment grade credit ratings benefit both utilities

and their customers." KEDNY's Baa2/BBB+/BBB issuer ratings (Moody's/S&P/Fitch) are no longer in the "A" rating range, meaning higher debt costs which will burden customers for an extended time. An indication of the cost of a "BBB" range rating compared to an "A" range rating can be taken from the difference in credit spread between the JP Morgan JULI 'BBB' and 'A' utility bond indices (the difference between 'BBB' and 'A' is three credit rating notches). This difference has averaged 61 basis points for utility operating company bonds in the period from January 1, 2023 to March 31, 2023, but has historically been higher in periods of market stress.

Q. Do customers benefit from "A" credit ratings?

A. Yes. As described above, higher-rated utilities can issue debt at lower costs, which benefits customers by lowering the overall rate of return charged to them. In addition, higher-rated utilities have better access to the debt markets and/or can obtain credit on more favorable terms as certain debt investors have a preference for "A" rated entities or do not invest in the debt of non-"A" rated entities.

Q. Could the Commission's decision in this proceeding adversely impact KEDNY's ability to maintain its current credit ratings?

A. Yes. Failure to authorize a reasonable and achievable return on equity ("ROE") or adoption of a revenue requirement that fails to provide support for KEDNY's credit metrics could put the Company at risk of further credit downgrades to the detriment of customers. Rating agencies are particularly focused on cash flow metrics as illustrated in Moody's March 2023 report on KEDNY which noted KEDNY's "persistently weak cash flow-based credit

metrics." Similarly, S&P's March 2023 credit report pointed to funds from operations ("FFO") to debt in the range of only 13 percent to 14 percent as a key reason the Company's financial measures were considered as being "at the lower end of the significant financial risk profile category." Moreover, Fitch noted in its January 2022 report that a negative rating action/downgrade could occur if FFO leverage were expected to exceed 6.0x on a sustained basis.

D. Other Credit Rating Considerations

Q. Is the exposure of gas utilities to carbon transition risk an emerging concern for credit rating agencies?

A. Yes. For example, Moody's March 2023 ratings report for KEDNY stated:

> We believe that New York State's commitment to reducing greenhouse gas emissions may pose long-term challenges to KEDNY's business, especially as all of its operations are gas, rather than primarily electricity for most state peers.

In addition, a recent Moody's gas utility sector report noted "LDCs operating in jurisdictions with aggressive emissions reduction targets have greater credit exposure to carbon transition risk."[10] That report ranked KEDNY and KEDLI as having "highly negative" carbon transition category scores, a higher risk ranking than 21 out of the 24 local distribution companies ("LDCs") scored. Carbon transition category scores form part of the Moody's environmental issuer profile score. KEDNY and KEDLI are both assigned an 'E-4' environmental issuer profile score, reflecting elevated exposure to carbon transition risk.

[10] Moody's Investor Service, "Sector In-Depth Report: Local Gas Distribution Utilities – North America: Emissions reduction, electrification threaten long-term competitiveness," November 14, 2022.

To the degree that investors perceive New York's aggressive clean energy targets create a more challenging business environment for the State's gas utilities, stronger quantitative financial metrics will be viewed as a necessary safeguard to maintain credit quality. There are already instances where Moody's differentiates between the credit metrics required for gas versus electric utilities. Moody's indicates downward rating pressure on KEDLI's Baa1 rating if its CFO pre-WC/debt metric was expected to fall persistently below 15 percent; however for Niagara Mohawk (a majority electric utility) which also has a Baa1 rating, the figure quoted is 14 percent.

Q. Do the Company's cash flows continue to be impacted by the 2017 Tax Cut and Jobs Act?

A. Yes. The Company's cash profile continues to be negatively impacted due to lower deferred federal income tax revenue and the requirement to return protected accumulated deferred income tax ("ADIT") resulting from the Tax Cut and Jobs Act. Although the impact will be slightly alleviated with the return of unprotected ADIT ending in fiscal year 2025, the Company's lower cash profile continues to weigh on credit metrics. Rating agencies have pointed to the cash flow effect of tax reform as credit negative and noted in the past that higher equity ratios could offset the pressure:

> Regulators must also recognize that tax reform is a strain on utility credit quality, and we expect companies to request stronger capital structures and other means to offset some of the negative impact.[11]

Moody's downgraded the rating outlook for the regulated utilities sector in 2018 citing ongoing concerns about the negative effect of the Tax Cut and Jobs Act on cash flows, and

[11] Standard & Poor's Ratings, "U.S. Tax Reform: For Utilities' Credit Quality, Challenges Abound", January 24, 2018, at 5

subsequently downgraded many individual utilities. Both Moody's and S&P have negative outlooks on the utility industry in 2022.

Q. Have rating agencies expressed concern regarding the threat posed to utilities from inflation and higher interest rates?

A. Yes, they have. Moody's, for example, revised its outlook for the regulated electric and gas utility sector to negative in November 2022 "because of increasingly challenging business and financial conditions stemming from higher natural gas prices, inflation and rising interest rates."[12] A recent Moody's report on KEDNY noted the agency expects "inflationary cost pressures will act as a drag on KEDNY's achieved return on equity (ROE)" over the remainder of the existing rate plan and warned:

> While the multiyear nature of rate plans has been a material positive for several years, the current rising cost environment could expose utilities to inadequate rates if inflationary pressures (including higher interest rates) continue, if not adequately reflected in the rate plan.[13]

A recent S&P sector report raised similar concerns, noting that "prolonged inflationary risks or a deeper-than-expected recession could harm the industry's credit quality in 2023" and warning that "rising interest rates, decreasing equity prices, and inflation could hamper consistent access the capital markets, potentially pressuring credit quality."[14]

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12 Moody's, "Regulated Electric and Gas Utilities – US 2023 outlook negative due to higher natural gas prices, inflation and rising interest rates", November 10, 2022.

13 Moody's Investor Service, "The Brooklyn Union Gas Company, Update to Credit Analysis", March 3, 2023.

14 Standard & Poor's Ratings, "Industry Top Trends North American Regulated Utilities", January 23, 2023.

Inflation and higher interest rates lead to higher spending needs (due to upward pressure on capital and operating costs and on borrowing costs, respectively) and even modest regulatory lag in recovery of these costs could weigh on already weak utility industry financials. KEDNY, like most other regulated utilities, is free-cash flow negative due to the significant amount of capital spending that is needed to improve safety and reliability and meet regulatory mandates. This means that increased spending needs must be funded with external capital. Inflation and higher interest rates could therefore lead to lower credit metrics at just the point in time KEDNY has an increased need to access outside funding.

Support for access to capital is paramount. In the November 2022 report titled "Regulated Electric and Gas Utilities – US: Environmental risks drive capital spending increases, pressuring credit quality," Moody's states that "as most utility holding companies fund investments primarily with debt, their ability to maintain credit quality amid unprecedented levels of capital spending will depend on their ability to recover these investments in a timely matter."[15] The report also states that "[g]iven the substantial increase in capital spending, cash flow growth will need to exceed historical levels if utilities are to maintain credit quality over the next three years."

Q. Are you aware that the Company is requesting surcharge mechanisms to recover deferral asset balances?

A. Yes.

[15] Moody's Investor Service, "Regulated Electric and Gas Utilities – US: Environmental risks drive capital spending increases, pressuring credit quality", November 3, 2022.

Q. Is it important from a credit rating agency perspective to have recovery methods in place for these types of expenses?

A. Yes. The methodology that Moody's applies to determine ratings for regulated electric and gas utilities, including KEDNY and KEDLI, focuses on the "Ability to Recover Costs and Earn Returns" as one of its four broad rating factors, which contributes to 25 percent of the overall grid-indicated rating. The methodology states that "[t]he ability to recover prudently incurred costs on a timely basis and to attract debt and equity capital are crucial considerations."[16] Moreover, Moody's November 2022 utility industry outlook report noted that delay in the pace of recovery for deferral items resulting in significant lag in cash flow recovery and weaker credit metrics was a contributing factor in the recent downgrades of New York utilities.[17]

S&P also specifies the importance of timely cost recovery in its rating criteria. In its November 2013 criteria "Key Credit Factors For The Regulated Utilities Industry" S&P summarizes the key characteristics of a "Strong Regulatory Advantage" assessment, the highest assessment possible. Among other factors, S&P provides guidance that a 'strong' assessment means "a utility can fully and timely recover all its fixed and variable operating costs, investments and capital costs (depreciation and a reasonable return to the asset base)."

[16] Moody's Investors Services, "Rating Methodology for Regulated Electric and Gas Utilities", June 23, 2017.

[17] Moody's Investors Services, "Regulated Electric and Gas Utilities – US 2023 outlook negative due to higher natural gas prices, inflation and rising interest rates", November 10, 2022.

IV. Cost of Debt and Overall Rate of Return

Q. How was the adjusted Historic Test Year cost rate of long-term debt for KEDNY shown on Exhibit __ (CSP-1), Schedule 1 derived?

A. The long-term debt component of KEDNY's capital structure primarily consists of fixed-rate taxable bonds, all of which support gas investments. Also included in the Historic Test Year is a floating rate term loan which was redeemed during the year. Included in the cost of the bonds are the direct coupon expense, the amortization of debt discounts or premiums, and the amortization of issuance costs where applicable. Exhibit __ (CSP-1), Schedule 1, page 1 shows the actual interest rate and associated expense for the Historic Test Year.

Q. How did the Company project the cost of debt for the Rate Year and Data Years?

A. The cost of debt for the Rate Year and Data Years presented on Exhibit __ (CSP-1), Schedule 1, pages 2 through 5, reflects two material changes to the weighted average cost of debt for the Historic Test Year, specifically: (i) new long-term debt issuances; and (ii) maturing debt. The Company projects the cost of future bond issuances based on prevailing credit spreads and pricing indications from the Company's relationship banks and future Treasury yield forecasts. In addition, the Company also referred to the recent KEDLI 10-year $500 million bond issue which settled on March 6, 2023 and which priced with a 5.994 percent coupon and a credit spread of 200 basis points over the Treasury curve.

Q. Please outline the planned financing activity reflected in the projected costs of capital for the Rate Year and Data Years.

A. The Company anticipates issuing a total of approximately $2.35 billion of additional long-term debt in the Rate Year and Data Years to refinance any short-term debt, fund its capital expenditure program, redeem maturing long-term debt, and maintain the proposed capital structure. Major drivers of this financing need are the $500 million of senior notes that mature on March 10, 2026, the $400 million of senior notes that mature on August 5, 2027 and approximately $4.03 billion in capital expenditures planned for the Rate Year and Data Years. The projected costs of capital for the Data Years assume that the Company will issue this new long-term debt as 10-year and 30-year senior unsecured debt at forecast coupon rates between 5.64 percent and 5.87 percent. The Company assumes that the cost to issue this debt will be approximately 0.5 percent of the principal amount issued for a 10-year issuance and approximately 0.8 percent of the principal amount issued for a 30-year issuance and that this cost will be amortized over the lives of the debt, which effectively increases the annual interest rates on these securities by three to five basis points. As explained below, the Company proposes to update the forecast interest rates during the course of this proceeding with more current market data and implement a new long-term debt true-up mechanism related to the $2.35 billion of total projected debt issuances.

Q. How were the balances and the cost rates for customer deposits shown on Exhibit __ (CSP-1), Schedule 3 determined?

A. KEDNY's forecast balances of customer deposits were assumed to remain equal to the actual monthly balance as of December 31, 2022, the end of the Historic Test Year. In

Case 22-M-0491, the Commission set the customer deposits rate for investor-owned utilities at 3.45 percent, effective January 1, 2023.

Q. What cost rate does KEDNY propose for the common equity component of the capital structure?

A. KEDNY is requesting a cost of common equity of 9.8 percent for the Rate Year, which is within the recommended ROE range supported by Company Witness Nowak in his testimony. The Company is requesting an ROE of 9.8 percent to help mitigate bill impacts in recognition of the affordability challenges that customers continue to face, and to facilitate the negotiation of a potential multi-year rate settlement with Staff and other stakeholders. If a multi-year settlement is reached, a 10.3 percent cost of common equity should be used to reflect the appropriate stay-out premium recommended by Mr. Nowak for all years covered by the settlement.

Q. Does KEDNY propose to update its projections of both new debt issuances and cost rates later in this proceeding?

A. Yes. While KEDNY has provided its best forecast of the cost of planned debt issuances and their specific timing, forecasts and assumptions can change over time. KEDNY will endeavor to time its debt issuances to secure the most favorable terms given capital market conditions in the interest of minimizing costs for customers. As such, KEDNY will provide updated projections of the cost of new long-term debt during the rate case process and provide the actual terms and costs of any debt issuances completed during the course of the rate case.

V. Proposed Long-Term Debt True-Up Mechanism

Q. Is the Company proposing a long-term debt true-up mechanism?

A. Yes, KEDNY is proposing a long-term debt true-up mechanism in the event a multi-year rate plan is adopted.

Q. How would the new long-term debt true-up mechanism proposed by the Company work?

A. The Company proposes to set base rates based on the interest rates presented on Exhibit __ (CSP-1), Schedule 3. A long-term debt true-up mechanism would then be used to reconcile the difference between the forecast costs of long-term debt embedded in the authorized rates and the Company's actual costs during each of the Rate Year and Data Years. Differences between the forecasted cost of debt and the actual cost would be reconciled annually with refunds to or collections from customers implemented through a surcharge/surcredit mechanism. The mechanism would be fully symmetrical.

Q. Why is a long-term debt true-up mechanism appropriate?

A. There has been significant volatility in long-term interest rates over the past few years. For example, the 30-year Treasury yield fell by nearly 120 basis points in 2019, and then increased more than four-fold from a low of 0.99 percent in March of 2020 to a high of 4.40 percent in October 2022. The volatility in interest rates increases the likelihood that actual cost of debt rates for future debt issuances will be either lower or higher than assumed. The Company always strives to issue debt at the most opportune times and in the most efficient manner. Interest rates, however, are set by the market, with the influence

of the Federal Reserve, and the Company has little to no control over those rates. A true-up mechanism protects customers from over collection in the event debt rates are lower than forecast and protects the Company from under collection in the event debt rates are higher than forecast. In this way neither customers nor the Company are disadvantaged.

Q. Has the Commission previously approved long-term debt true-up mechanisms similar to what the Company is proposing in this case?

A. Yes. The proposed new long-term debt true-up mechanism is generally consistent with prior debt true-up mechanisms approved by the Commission for other utilities in New York. *See, e.g*., Case 15-E-0283 *et. al*., *New York State Electric & Gas Co./Rochester Gas & Electric Corp.,* "Order Approving Electric and Gas Rate Plans In Accordance With Joint Proposal," issued June 15, 2016; Case 17-E-0238, *et. al*., *Niagara Mohawk Power Corporation d/b/a National Grid,* "Order Adopting Terms off Joint Proposal And Establishing Electric And Gas Rate Plans," issued March 15, 2018; and Case 17-E-0459, *Central Hudson Gas & Electric Corporation*, "Order Adopting Terms Of Joint Proposal And Establishing Electric And Gas Rate Plan," issued June 14, 2018.

VI. <u>Financial Protections</u>

Q. Is KEDNY presently subject to any financial protection provisions adopted by the Commission?

A. Yes. The Commission previously adopted Financial Protection provisions that generally address the payment of dividends and the components of KEDNY's capital structure, and implemented a golden share whose consent is required to institute a voluntary bankruptcy proceeding.

In the Company's last rate case, Staff referenced S&P's September 24, 2018 credit opinion's discussion of KEDNY and KEDLI's Financial Protections (cited in Section III above) and concluded that "we believe that the rating agencies still view KEDNY and KEDLI as adequately ring-fenced and thus rate the Companies' credit quality substantially on a stand-alone basis, apart from their holding Companies."

Q. Does KEDNY believe that the Financial Protections should remain in effect?

A. Yes. The current Financial Protections should continue without modification.

VII. Service Company Asset Recovery Charge

Q. What is the Service Company asset recovery charge?

A. Service Company owns or leases a number of shared assets that are used either by Service Company employees to provide services to affiliates or are used by the affiliates on a shared basis. These are primarily shared office facilities and information technology equipment and software. When Service Company finances and owns the shared assets, it charges the affiliates an asset recovery charge based on a pre-tax return on the asset (net of deferred taxes) and booked depreciation expense. This charge is recovered in KEDNY's rent expense, as set forth in the Revenue Requirements Panel's direct testimony.

Q. What cost of equity does KEDNY propose to use for the Service Company asset recovery charge?

A. KEDNY proposes to use the same cost of equity for the Service Company asset recovery charge as for its cost of equity (*i.e.*, 9.8 percent for a one-year case, or 10.3 percent for a four-year rate plan).

Q. What overall weighted average cost of capital does KEDNY propose to use for the Service Company asset recovery charge and how was it derived?

A. KEDNY proposes to use an assumed 50/50 long-term debt/equity capital structure, which is a lower equity ratio than the current actual Service Company equity ratio[18], and the actual cost of long-term debt for the Service Company asset recovery charge. The table below illustrates the overall weighted average cost of capital for the Service Company asset recovery charge, assuming KEDNY's requested 9.8 percent cost of equity.

Service Company	Capitalization Ratio	Cost Rate	Weighted Cost
Long-Term Debt[19]	50.00%	4.85%	2.42%
Common Equity	50.00%	9.80%	4.90%
Total	100.00%		7.32%

Q. Does this conclude the Panel's testimony?

A. Yes, it does.

[18] The Service Company equity ratio in March 2023 was 50.4%.

[19] Service Company has 25-year intercompany debt maturing in 2035 with a balance of $80 million and an interest rate of 5.803 percent, 10-year intercompany debt maturing in 2029 with a balance of $525 million and an interest rate of 2.83 percent, and 10-year intercompany debt maturing in 2032 with a balance of $850 million and an interest rate of 6.00 percent.

INDEX OF EXHIBITS

Exhibit ___ (CSP-1):

Schedule 1: KEDNY Cost of Long-Term Debt

Schedule 2: Projected Capitalization and Weighted Average Cost of Capital

Schedule 3: KEDNY Cost of Capital for Both the Rate Year and the Term of a Multi-Year Rate Plan

Schedule 4: Forecast Sources and Uses of Funds Statement

Exhibit ___ (CSP-1)

Schedule 1

KEDNY Cost of Long-Term Debt

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending December 31, 2022

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	FACE VALUE	AVERAGE AMOUNT OUTSTANDING	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2026	3.407%	3/10/2016	3/10/2026	500,000	500,000	17,035	210	17,245	3.45%
Senior Unsecured Debt due 2046	4.504%	3/10/2016	3/10/2046	500,000	500,000	22,520	128	22,648	4.53%
Senior Unsecured Debt due 2048	4.273%	3/14/2018	3/15/2048	650,000	650,000	27,775	184	27,959	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	550,000	21,258	235	21,493	3.91%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	450,000	20,192	125	20,317	4.51%
Amortization of expenses of repurchased bonds [1]	-	-	-	-	-	-	490	490	-
				2,650,000	**2,650,000**	**108,779**	**1,372**	**110,151**	**4.16%**
Repayments and Issuances									
Prorated Repayments:									
Term Loan	Variable	9/28/2021	8/11/2022	400,000	243,288	3,420	108	3,528	1.45%
Prorated New Issuances:									
Senior Unsecured Debt due 2027	4.632%	8/5/2022	8/5/2027	400,000	162,192	7,514	92	7,606	4.69%
Senior Unsecured Debt due 2032	4.866%	8/5/2022	8/5/2032	400,000	162,192	7,894	71	7,965	4.91%
Total Long-Term Debt				**3,850,000**	**3,217,671**	**127,606**	**1,643**	**129,250**	**4.02%**
Debt Outstanding at End of Year				**3,450,000**					

Notes
[1] Amortization of expenses of repurchased bonds relates to the buybacks of debt in 2016 and 2018, as per the Company's filings in case 15-G-0309.

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2025
($000)

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	FACE VALUE	AVERAGE AMOUNT OUTSTANDING	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2026	3.407%	3/10/2016	3/10/2026	500,000	500,000	17,035	210	17,245	3.45%
Senior Unsecured Debt due 2046	4.504%	3/10/2016	3/10/2046	500,000	500,000	22,520	128	22,648	4.53%
Senior Unsecured Debt due 2048	4.273%	3/14/2018	3/15/2048	650,000	650,000	27,775	184	27,959	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	550,000	21,258	235	21,493	3.91%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	450,000	20,192	125	20,317	4.51%
Senior Unsecured Debt due 2027	4.632%	8/5/2022	8/5/2027	400,000	400,000	18,528	226	18,754	4.69%
Senior Unsecured Debt due 2032	4.866%	8/5/2022	8/5/2032	400,000	400,000	19,464	175	19,639	4.91%
Amortization of expenses of repurchased bonds [1]	-	-	-	-	-	-	268	268	-
				3,450,000	**3,450,000**	**146,771**	**1,551**	**148,321**	**4.30%**
Repayments and Issuances									
Prorated Repayments:									
Prorated New Issuances: [2]									
Senior Unsecured Debt due 2033	5.640%	7/31/2023	7/31/2033	500,000	500,000	28,200	237	28,437	5.69%
Senior Unsecured Debt due 2054	5.870%	6/30/2024	6/30/2054	500,000	375,342	22,033	103	22,136	5.90%
Total Long-Term Debt				**4,450,000**	**4,325,342**	**197,003**	**1,891**	**198,894**	**4.598%**
Debt Outstanding at End of Year				**4,450,000**					

Notes
[1] Amortization of expenses of repurchased bonds relates to the buybacks of debt in 2016 and 2018, as per the Company's filings in case 15-G-0309.
[2] New issuance rates have been estimated using US Treasury forward rates as of March 10, 2023 plus credit spreads of 205bps for 10-year issuances and 235bps for 30-year issuances.

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2026
($000)

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	FACE VALUE	AVERAGE AMOUNT OUTSTANDING	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2046	4.504%	3/10/2016	3/10/2046	500,000	500,000	22,520	128	22,648	4.53%
Senior Unsecured Debt due 2048	4.273%	3/14/2018	3/15/2048	650,000	650,000	27,775	184	27,959	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	550,000	21,258	235	21,493	3.91%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	450,000	20,192	125	20,317	4.51%
Senior Unsecured Debt due 2027	4.632%	8/5/2022	8/5/2027	400,000	400,000	18,528	226	18,754	4.69%
Senior Unsecured Debt due 2032	4.866%	8/5/2022	8/5/2032	400,000	400,000	19,464	175	19,639	4.91%
Senior Unsecured Debt due 2033	5.640%	7/31/2023	7/31/2033	500,000	500,000	28,200	237	28,437	5.69%
Senior Unsecured Debt due 2054	5.870%	6/30/2024	6/30/2054	500,000	500,000	29,350	137	29,487	5.90%
Amortization of expenses of repurchased bonds [1]	-	-	-	-	-	-	142	142	-
				3,950,000	**3,950,000**	**187,286**	**1,589**	**188,875**	**4.78%**
Repayments and Issuances									
Prorated Repayments:									
Senior Unsecured Debt due 2026	3.407%	3/10/2016	3/10/2026	500,000	469,863	16,008	197	16,206	3.45%
Prorated New Issuances: [2]									
Senior Unsecured Debt due 2035	5.620%	6/30/2025	6/30/2035	400,000	300,274	16,875	148	17,023	5.67%
Senior Unsecured Debt due 2056	5.820%	2/28/2026	2/28/2056	400,000	33,973	1,977	10	1,987	5.85%
Total Long-Term Debt				**5,250,000**	**4,754,110**	**222,146**	**1,944**	**224,090**	**4.71%**
Debt Outstanding at End of Year				**4,750,000**					

Notes
[1] Amortization of expenses of repurchased bonds relates to the buybacks of debt in 2016 and 2018, as per the Company's filings in case 15-G-0309.
[2] New issuance rates have been estimated using US Treasury forward rates as of March 10, 2023 plus credit spreads of 205bps for 10-year issuances and 235bps for 30-year issuances.

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2027
($000)

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	FACE VALUE	AVERAGE AMOUNT OUTSTANDING	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2046	4.504%	3/10/2016	3/10/2046	500,000	500,000	22,520	128	22,648	4.53%
Senior Unsecured Debt due 2048	4.273%	3/14/2018	3/15/2048	650,000	650,000	27,775	184	27,959	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	550,000	21,258	235	21,493	3.91%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	450,000	20,192	125	20,317	4.51%
Senior Unsecured Debt due 2027	4.632%	8/5/2022	8/5/2027	400,000	400,000	18,528	226	18,754	4.69%
Senior Unsecured Debt due 2032	4.866%	8/5/2022	8/5/2032	400,000	400,000	19,464	175	19,639	4.91%
Senior Unsecured Debt due 2033	5.640%	7/31/2023	7/31/2033	500,000	500,000	28,200	237	28,437	5.69%
Senior Unsecured Debt due 2054	5.870%	6/30/2024	6/30/2054	500,000	500,000	29,350	137	29,487	5.90%
Senior Unsecured Debt due 2035	5.620%	6/30/2025	6/30/2035	400,000	400,000	22,480	197	22,677	5.67%
Senior Unsecured Debt due 2056	5.820%	2/28/2026	2/28/2056	400,000	400,000	23,280	112	23,392	5.85%
				4,750,000	**4,750,000**	**233,046**	**1,757**	**234,802**	**4.94%**
Repayments and Issuances									
Prorated Repayments:									
Prorated New Issuances: [1]									
Senior Unsecured Debt due 2036	5.680%	7/31/2026	7/31/2036	500,000	332,877	18,907	158	19,065	5.73%
Total Long-Term Debt	NOTE 1			**5,250,000**	**5,082,877**	**251,953**	**1,915**	**253,868**	**4.99%**
Debt Outstanding at End of Year				**5,250,000**					

Notes
[1] New issuance rates have been estimated using US Treasury forward rates as of March 10, 2023 plus credit spreads of 205bps for 10-year issuances and 235bps for 30-year issuances.

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
WEIGHTED AVERAGE COST OF LONG-TERM DEBT
For 12 months period Ending March 31, 2028
($000)

LONG-TERM DEBT	RATE %	ISSUANCE DATE	MATURITY DATE	FACE VALUE	AVERAGE AMOUNT OUTSTANDING	ANNUAL INTEREST & FEES	ANNUAL AMORTIZATION DEBT DISCOUNT AND EXPENSE	TOTAL INTEREST AND ANNUAL AMORTIZATION	EFFECTIVE RATE
Senior Unsecured Debt due 2046	4.504%	3/10/2016	3/10/2046	500,000	500,000	22,520	128	22,648	4.53%
Senior Unsecured Debt due 2048	4.273%	3/14/2018	3/15/2048	650,000	650,000	27,775	184	27,959	4.30%
Senior Unsecured Debt due 2029	3.865%	3/4/2019	3/4/2029	550,000	550,000	21,258	235	21,493	3.91%
Senior Unsecured Debt due 2049	4.487%	3/4/2019	3/4/2049	450,000	450,000	20,192	125	20,317	4.51%
Senior Unsecured Debt due 2032	4.866%	8/5/2022	8/5/2032	400,000	400,000	19,464	175	19,639	4.91%
Senior Unsecured Debt due 2033	5.640%	7/31/2023	7/31/2033	500,000	500,000	28,200	237	28,437	5.69%
Senior Unsecured Debt due 2054	5.870%	6/30/2024	6/30/2054	500,000	500,000	29,350	137	29,487	5.90%
Senior Unsecured Debt due 2035	5.620%	6/30/2025	6/30/2035	400,000	400,000	22,480	197	22,677	5.67%
Senior Unsecured Debt due 2056	5.820%	2/28/2026	2/28/2056	400,000	400,000	23,280	112	23,392	5.85%
Senior Unsecured Debt due 2036	5.680%	7/31/2026	7/31/2036	500,000	500,000	28,400	237	28,637	5.73%
				4,850,000	**4,850,000**	**242,918**	**1,768**	**244,686**	**5.05%**
Repayments and Issuances									
Prorated Repayments:									
Senior Unsecured Debt due 2027	4.632%	8/5/2022	8/5/2027	400,000	138,082	6,396	78	6,474	4.69%
Prorated New Issuances: [1]									
Senior Unsecured Debt due 2037	5.760%	7/31/2027	7/31/2037	550,000	367,671	21,178	172	21,350	5.81%
Total Long-Term Debt				**5,800,000**	**5,355,753**	**270,491**	**2,018**	**272,509**	**5.09%**
Debt Outstanding at End of Year				**5,400,000**					

Notes
[1] New issuance rates have been estimated using US Treasury forward rates as of March 10, 2023 plus credit spreads of 205bps for 10-year issuances and 235bps for 30-year issuances.

Exhibit ___ (CSP-1)

Schedule 2

Projected Capitalization and Weighted Average Cost of Capital

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (RATE YEAR)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2025

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of December 31, 2022	3,450,000	3,253,961	1,930,373	1,451,140	3,733,194	15,296	7,198,490
Changes to December 31, 2023[1]	500,000		266,498	-	266,498	-	766,498
Balance as of December 31, 2023	3,950,000	3,253,961	2,196,871	1,451,140	3,999,692	15,296	7,964,988
Changes to March 31, 2024	0	0	215,442	0	215,442	0	215,442
Balance as of March 31, 2024	3,950,000	3,253,961	2,412,313	1,451,140	4,215,134	15,296	8,180,430
April 2024	3,950,000	3,253,961	2,458,605	1,451,140	4,261,426	15,296	8,226,722
May 2024	3,950,000	3,253,961	2,456,916	1,451,140	4,259,737	15,296	8,225,033
June 2024[2]	4,450,000	3,303,961	2,439,345	1,451,140	4,292,166	15,296	8,757,462
July 2024	4,450,000	3,303,961	2,418,395	1,451,140	4,271,216	15,296	8,736,512
August 2024	4,450,000	3,303,961	2,380,550	1,451,140	4,233,372	15,296	8,698,668
September 2024	4,450,000	3,303,961	2,370,413	1,451,140	4,223,235	15,296	8,688,531
October 2024	4,450,000	3,303,961	2,345,409	1,451,140	4,198,230	15,296	8,663,526
November 2024	4,450,000	3,303,961	2,376,158	1,451,140	4,228,979	15,296	8,694,275
December 2024	4,450,000	3,303,961	2,453,875	1,451,140	4,306,696	15,296	8,771,992
January 2025	4,450,000	3,303,961	2,576,870	1,451,140	4,429,691	15,296	8,894,987
February 2025	4,450,000	3,303,961	2,688,715	1,451,140	4,541,536	15,296	9,006,832
March 2025	4,450,000	3,303,961	2,750,212	1,451,140	4,603,034	15,296	9,068,330
Twelve Months Total	52,400,000	39,547,534	29,715,463	17,413,679	51,849,318	183,552	104,432,870
13 month average over the year	4,345,833	3,293,544	2,462,209	1,451,140	4,304,614	15,296	8,665,743
Capitalization Ratios	50.1%				49.7%	0.2%	100.0%
Capitalization Ratios for Ratesetting	51.82%				48%	0.2%	100.0%
Cost Rates	4.60%				9.80%	3.45%	
Return Components	**2.38%**				**4.70%**	**0.01%**	**7.09%**

Notes: For illustrative purposes, cost rate for equity is 9.8% for one year plan but 10.3% for multi-year rate plan.
[1] $500 million bond issuance
[2] $500 million bond issuance and $50 million equity issuance

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (DATA YEAR 1)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2026

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of March 31, 2025	4,450,000	3,303,961	2,750,212	1,451,140	4,603,034	15,296	9,068,330
April 2025	4,450,000	3,303,961	2,801,026	1,451,140	4,653,847	15,296	9,119,143
May 2025	4,450,000	3,303,961	2,799,171	1,451,140	4,651,993	15,296	9,117,289
June 2025[1]	4,850,000	3,353,961	2,779,884	1,451,140	4,682,706	15,296	9,548,002
July 2025	4,850,000	3,353,961	2,756,889	1,451,140	4,659,710	15,296	9,525,006
August 2025	4,850,000	3,353,961	2,715,348	1,451,140	4,618,169	15,296	9,483,465
September 2025	4,850,000	3,353,961	2,704,221	1,451,140	4,607,042	15,296	9,472,338
October 2025	4,850,000	3,353,961	2,676,774	1,451,140	4,579,595	15,296	9,444,891
November 2025	4,850,000	3,353,961	2,710,526	1,451,140	4,613,347	15,296	9,478,643
December 2025	4,850,000	3,353,961	2,795,833	1,451,140	4,698,654	15,296	9,563,950
January 2026	4,850,000	3,353,961	2,930,841	1,451,140	4,833,662	15,296	9,698,958
February 2026[2]	5,250,000	3,353,961	3,053,609	1,451,140	4,956,431	15,296	10,221,727
March 2026[3]	4,750,000	3,353,961	3,121,113	1,451,140	5,023,935	15,296	9,789,231
Twelve Months Total	57,700,000	40,147,534	33,845,235	17,413,679	56,579,090	183,552	114,462,642
13 month average over the year	4,795,833	3,343,544	2,804,982	1,451,140	4,697,387	15,296	9,508,516
Capitalization Ratios	50.4%				49.4%	0.2%	100.0%
Capitalization Ratios for Ratesetting	51.8%				48.0%	0.2%	100.0%
Cost Rates	4.71%				10.30%	3.45%	
Return Components	**2.44%**				**4.94%**	**0.01%**	**7.39%**

Notes
[1] $400 million bond issuance and $50m equity issuance
[2] $400 million bond issuance
[3] $500 million bond maturity

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (DATA YEAR 2)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2027

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of March 31, 2026	4,750,000	3,353,961	3,121,113	1,451,140	5,023,935	15,296	9,789,231
April 2026	4,750,000	3,353,961	3,176,862	1,451,140	5,079,684	15,296	9,844,980
May 2026	4,750,000	3,353,961	3,174,828	1,451,140	5,077,649	15,296	9,842,945
June 2026	4,750,000	3,353,961	3,153,668	1,451,140	5,056,489	15,296	9,821,785
July 2026[1]	5,250,000	3,353,961	3,128,438	1,451,140	5,031,259	15,296	10,296,555
August 2026	5,250,000	3,353,961	3,082,862	1,451,140	4,985,683	15,296	10,250,979
September 2026	5,250,000	3,353,961	3,070,654	1,451,140	4,973,476	15,296	10,238,772
October 2026	5,250,000	3,353,961	3,040,542	1,451,140	4,943,363	15,296	10,208,659
November 2026	5,250,000	3,353,961	3,077,572	1,451,140	4,980,393	15,296	10,245,689
December 2026	5,250,000	3,353,961	3,171,165	1,451,140	5,073,987	15,296	10,339,283
January 2027	5,250,000	3,353,961	3,319,287	1,451,140	5,222,108	15,296	10,487,404
February 2027	5,250,000	3,353,961	3,453,980	1,451,140	5,356,801	15,296	10,622,097
March 2027[2]	5,250,000	3,353,961	3,328,041	1,451,140	5,230,862	15,296	10,496,158
Twelve Months Total	61,500,000	40,247,534	38,177,900	17,413,679	61,011,755	183,552	122,695,307
13 month average over the year	5,104,167	3,353,961	3,172,870	1,451,140	5,075,691	15,296	10,195,154
Capitalization Ratios	50.1%				49.8%	0.2%	100.0%
Capitalization Ratios for Ratesetting	51.8%				48.0%	0.2%	100.0%
Cost Rates	4.99%				10.30%	3.45%	
Return Components	**2.59%**				**4.94%**	**0.01%**	**7.54%**

Notes
[1] $500 million bond issuance
[2] $200 million dividend

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
ESTIMATED COST OF CAPITAL (DATA YEAR 3)
AND RATE OF RETURN
($000)
For 12-month period ending March 31, 2028

	Long-Term Debt	Common Stock	Retained Earnings	Less Goodwill	Total Common Equity	Customer Deposits	Total Capitalization
Balance as of March 31, 2027	5,250,000	3,353,961	3,328,041	1,451,140	5,230,862	15,296	10,496,158
April 2027	5,250,000	3,353,961	3,387,559	1,451,140	5,290,380	15,296	10,555,676
May 2027	5,250,000	3,353,961	3,385,387	1,451,140	5,288,208	15,296	10,553,504
June 2027	5,250,000	3,353,961	3,362,796	1,451,140	5,265,617	15,296	10,530,913
July 2027[1]	5,800,000	3,353,961	3,335,861	1,451,140	5,238,682	15,296	11,053,978
August 2027[2]	5,400,000	3,353,961	3,187,203	1,451,140	5,090,025	15,296	10,505,321
September 2027	5,400,000	3,353,961	3,174,170	1,451,140	5,076,991	15,296	10,492,287
October 2027	5,400,000	3,353,961	3,142,021	1,451,140	5,044,843	15,296	10,460,139
November 2027	5,400,000	3,353,961	3,181,556	1,451,140	5,084,377	15,296	10,499,673
December 2027	5,400,000	3,353,961	3,281,477	1,451,140	5,184,298	15,296	10,599,594
January 2028	5,400,000	3,353,961	3,439,614	1,451,140	5,342,435	15,296	10,757,731
February 2028	5,400,000	3,353,961	3,583,414	1,451,140	5,486,235	15,296	10,901,531
March 2028[3]	5,400,000	3,353,961	3,462,482	1,451,140	5,365,303	15,296	10,780,599
Twelve Months Total	64,750,000	40,247,534	39,923,540	17,413,679	62,757,395	183,552	127,690,947
13 month average over the year	5,389,583	3,353,961	3,321,360	1,451,140	5,224,181	15,296	10,629,061
Capitalization Ratios	50.7%				49.1%	0.1%	100.0%
Capitalization Ratios for Ratesetting	51.9%				48.0%	0.1%	100.0%
Cost Rates	5.09%				10.30%	3.45%	
Return Components	**2.64%**				**4.94%**	**0.00%**	**7.58%**

Notes
[1] $550 million bond issuance
[2] $400 million bond maturity and $100 million dividend
[3] $200 million dividend

Exhibit ___ (CSP-1)

Schedule 3

KEDNY Cost of Capital for Both the Rate Year and the Term of a Multi-Year Rate Plan

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
SUMMARY TABLES

One-Year Rate Plan

	Capitalization Ratio	Cost Rate	Weighted Cost
Long-Term Debt	51.82%	4.60%	2.38%
Customer Deposits	0.18%	3.45%	0.01%
Common Equity	48.00%	9.80%	4.70%
Total	100.00%		7.09%

Four-Year Rate Plan (ROE includes stay-out premium, forecasted cost of debt)

	Rate Year (FY25)			Data Year 1 (FY26)			Data Year 2 (FY27)			Data Year 3 (FY28)		
	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost	Capitalization Ratio	Cost Rate	Weighted Cost
Long-Term Debt	51.82%	4.60%	2.38%	51.84%	4.71%	2.44%	51.85%	4.99%	2.59%	51.86%	5.09%	2.64%
Customer Deposits	0.18%	3.45%	0.01%	0.16%	3.45%	0.01%	0.15%	3.45%	0.01%	0.14%	3.45%	0.00%
Common Equity	48.00%	10.30%	4.94%	48.00%	10.30%	4.94%	48.00%	10.30%	4.94%	48.00%	10.30%	4.94%
Total	100.00%		7.33%	100.00%		7.39%	100.00%		7.54%	100.00%		7.58%

Exhibit ___ (CSP-1)

Schedule 4

Forecast Sources and Uses of Funds Statement

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
SOURCES AND USES OF FUNDS STATEMENT
($000)

Sources of Funds	Rate Year Ending 3/31/25	Data Year Ending 3/31/26	Data Year Ending 3/31/27	Data Year Ending 3/31/28
Internal				
Net Income	337,899	370,901	406,927	434,441
Depreciation & Amortization	210,729	260,578	306,829	353,551
Deferred Taxes	2,095	50,805	64,565	74,170
Changes in Working Capital / Other	(21,391)	(5,184)	(4,233)	(4,338)
Total Internal Sources	529,333	677,100	774,088	857,824
External				
Equity Issuances	50,000	50,000	-	-
Long-Term Debt	500,000	800,000	500,000	550,000
Change in MP Balance (Borrowings)	-	-	-	301,899
Total External Sources	550,000	850,000	500,000	851,899
Total Sources of Funds	1,079,333	1,527,100	1,274,088	1,709,723
Uses of Funds				
Capital Expenditures	1,012,780	1,016,045	995,634	1,009,723
Reimbursement of Treasury			200,000	300,000
Redemptions				
Long-Term Debt	-	500,000	-	400,000
Change in MP Balance (Repayments)	66,552	11,055	78,454	-
Total Uses of Funds	1,079,333	1,527,100	1,274,088	1,709,723

	Mar 2024 Bal.*				
MP Balance	3,000	69,552	80,608	159,062	(142,837)

MP = Money Pool

*Forecast based on *actual balance as of March 2023, FY24 business plan cashflows, and financing activity for the period ending March 31, 2024, as per Sch2P1.*